In re Interest Arbitration Between

Teamsters local 346, Union

and

City of Brainerd, Employer

BMS Case 25-PN-0773

Arbitrator's Award

Phillip Finkelstein, Arbitrator

Union Representative	Employer Representatives
Tim Andrew, Atty	Tim Sullivan, Andrea Jamison, Attys
Andrew and Poole, P.A.	Ratwick, Roszak& Maloney, P.A.
Duluth, Minnesota	St. Paul, Minnesota

Introduction:

Brainerd is a pleasant city located on the Mississippi River in Northern Minnesota. It is a tourism center and the City's population of 14,400 can almost triple in size during the tourist seasons of summer, fall and winter. The addition of tourists and their needs can place a significant burden on City services especially the Police Department which includes the Sergeants and Lieutenant who are represented by the Teamsters.

The City of Brainerd hereafter Employe and Teamsters Local 346 hereafter Union have long been parties to a Collective Bargaining Agreement.

The last Agreement expired 12/31/2024 and the Parties were unable to settle all the terms

of the successor 1/1/2025 to 12/31/2027 Labor Agreement.

Pursuant to Minnesota Statute 179A.16 the Bureau certified the remaining issues and the Parties filed Final Positions. See Appendix

Phillip Finkelstein was selected as the neutral Arbitrator and the Hearing was held July 31, 2025 in Brainerd. Both Parties were given a full opportunity to present Witnesses and Exhibits.

Certified Issues by the Bureau of Mediation Services:

1. Holidays
2. Floating Holidays
3. Severance Pay
4. Wages 2025
5. Wages 2026
6. Wages 2027

At the Hearing the Parties agreed that there were 3 basic areas of dispute and presented their cases as follows:

1. Holidays (Certified Issues 1 and 2)
2. Severance Pay (Certified Issue 3)
3. Wages (Certified Issues 4,5,6)

Post Hearing Briefs were due and received August 29, 2025. The Hearing was then closed.

Following the Hearing the Parties also agreed that:

1. Implementation methodologies shall process as set forth in parties' position but shall not be included as language in the CBA.
2. That the wages issues to be determined by the Arbitrator shall be retroactive to Jan 1, 2025 for all bargaining unit members in active payroll status at the time of the Arbitration award. (See Tim Sullivan email of August 4, 2025).

Issues:

Issue 1 (Holidays: certified issue 1 and 2)

Employer Position:

11.1 All employees will receive an additional eight (8) hours of straight time pay for each of the following eleven (11) holidays:
New Year's Day   Martin Luther King Jr. Day
President's Day   Memorial Day
Independence Day   Juneteenth
Veteran's Day   Thanksgiving Day
Christmas Day   Indigenous Peoples Day
Labor Day

11.3 In addition to the above holidays, employees will receive one (1) "Floating Holiday" which will consist of either eight (8) or ten (10) hour shifts. Floating Holidays must be approved by the Police Chief or designee. Employees will be accredited their floating holidays on January 1st of each year or upon date of hire and it may be used at any time during the calendar year.

In essence, the Employer adds Juneteenth as a paid 8 hr straight time holiday increasing the total of paid holidays to 11 by reducing the number of floating holidays from 2 to 1:

Union Position:

Article 11.1 Holidays:
New Year's Day Martin Luther King Jr Day
Presidents Day Memorial Day
Independence Day Juneteenth
Labor Day Indigenous Peoples Day
Veteran's Day Thanksgiving Day
Christmas Day
In addition to the above holidays, employees will receive two (2) "Floating Holidays" which will consist of either eight (8) on January 1st or ten (10) hour shifts. Floating Holidays must be approved by the Police Chief or designee. Employees will be accredited with their floating holidays on January 1st of each year or upon date of hire and it may be used at any time during the calendar year.

In essence, the Union accepts the addition of Juneteenth as a paid holiday in Article 11.1 but wants no reduction in the paid 2 personal days.

Award by Arbitrator:
The Employer's Position is accepted with the modification that employees will have the option of converting the paid Juneteenth into a 2nd paid floating holiday by declaring their preference in writing by January 1st of each year. Employees who select the above option will not receive an additional 8 hours of holiday pay for Juneteenth.

Rationale:

Both the Employer and Union are in a difficult position as result of the State of Minnesota declaring Juneteenth, a mandatory Holiday but not considering what effect it would have in upcoming collective bargaining. While the purpose behind celebrating Juneteenth is laudable, parties still have to negotiate how they will pay and account for the additional holiday.

In the present case, The Employer is requesting that the employees pick up the cost of the additional holiday by giving up one of their two personal floating holidays. The Parties had resolved the issue on a non-precedent setting basis in the past. However, the Parties were unable to resolve this issue for the new Labor Contract. The State mandate does not require Juneteenth be a paid holiday. Nor did the Teamster Bargaining Unit even request the holiday if it meant the loss of their Personal Floating Holiday. See testimony of Sgt Paul Dooley. It is interesting to note that the IBEW also felt the same way in not desiring the additional Holiday, if it meant the loss of one their personal days. See page 12 of BMS Case 24-PN-0860 IBEW and City of Brainerd by Arbitrator Patrick Kelly. Union ex 7.
Police want to retain the same opportunities to attend graduations and weddings that other employees take for granted. Unlike other employees, Police are often scheduled to work the evenings and weekends when these special occasions take place. Police cannot pause their work because a holiday comes up. This Award leaves it up to the individual employee to determine if they wish to continue the second paid personal day and not receive payment for the new holiday.

Issue 2 Severance Pay (certified issue 3)

Employer Position:

All regular full-time employees shall be entitled to one hundred percent (100%) of unused sick leave as severance pay, with a maximum of nine hundred sixty (960) hours, upon retirement or if they become disabled and must terminate their employment with written proof by a physician. In the event of death, severance pay shall be paid to the beneficiary. Employees who leave their employment in good standing with the City of Brainerd after twenty (20) years of service shall be entitled to fifty (50%) of all accumulated sick leave up to the maximum of the nine hundred sixty {(960) hours. The terms retirement and in good standing are defined in the in City's Employee Policy Manual.

The Employer is proposing a language change from current 75% payout to 50% for those with 20 years service.

Union Position

All regular full-time employees shall be credited with eight (8) hours of sick leave for each month worked. Sick leave may be used for the purpose provided in MN Statute 181.9447, as amended. Sick leave accumulation shall be a maximum of nine hundred sixty (960) hours. A physician's certificate may be required, consistent with MN Statute 181.9447, subd. 3, if in the opinion of the Police Chief, it is deemed necessary. Eligibility for sick leave shall be credited for the original date of hire without a break in service. Bargaining unit members may not use sick leave due to the closure of the employee's workplace due to weather or a public emergency or an employee's need to care for a family member whose school or place of care has been closed due to weather or other public emergency (Section 181.9447, subd. 1, clause (4)).

The Union opposes the change.

Award by Arbitrator:

The Union position is awarded, no change to the current language and 75% payout after 20 years continues.

Rationale:

While the Employer is correct that a 75% payout of sick leave is uncommon in the State of Minnesota, the consideration of the issue does not end there. While the LELS bargaining unit may have accepted the lower 50% pay out, this change was agreed to as part of a voluntary, negotiated settlement of their Labor Contract. It is unclear what horse trading occurred to obtain this result and besides, the LELS Bargaining Unit is not bargaining for the Teamster Unit. The Teamster Bargaining Unit members have worked long and hard to receive this benefit and the City proposal would cut it by one third, immediately, for all current employees. A majority of the Bargaining Units in the City still receive the 75 % payout after 20 years. Currently, 5 out of the 6 other City Bargaining Units receive the 75% pay out. It is a well-accepted Arbitration Maxim that in Interest Arbitrations, benefits are typically compared internally absent special circumstances. The special circumstances have not been demonstrated to exist in the present case to support cutting this benefit. Therefore, at this time, the City's argument cannot carry the day.

Issue 3 Wages (Certified Issues 4,5,6)

Employer Position:

Place Patrol Sergeants and Lieutenants on the 2023 Flaherty & Hood (F&H) Wage Grid, as with all Other City employees, with wage Adjustments of :
3.75% on 1/1/2025
2.75% on 7/1/2025
3% on 1/1/2026
3% on 1/1/2027
For transitional employees, apply lump sum "transitional pay" during the transition to the grid. All employees placed at the step closest to (but not below) their 12/31/24 wage, not including merit steps unless previously earned.

Union Position

	Step 1	Step 2	Step 3	Step 4	Step 5	Step 6	Step 7	Step 8
Effective 1/1/25	7.70%	6.48%	5.38%	4.37%	3.44%	2.56%	6.51%	6.37%

Effective 7/1/25 2.75% Across The Board

Effective 1/1/26 3% Across The Board

Effective 1/1/27 3% Across The Board

Award by Arbitrator:

	Step 1	Step 2	Step 3	Step 4	Step 5	Step 6	Step 7	Step 8
Effective 1/1/25	5.75%	5%	4.5%	4%	3%	2.25%	4.5%	4.5%

Effective 7/1/25 2.75% wage increase for all Steps.

Effective 1/1/26 3% wage increase for all Steps.

Effective 1/1/27 3% wage increase for all Steps.

Please note that the Parties were in agreement for wage increases for all years except 1/1/25. Also note the Parties have also agreed where to place the Lieutenant :

	Step 1	Step 2	Step 3	Step 4	Step 5	Step 6	Step 7	Step 8
Effective 1/1/25	42.41	44.02	45.64	47.25	48.88	50.48	54.53	56.54
Effective 7/1/25	43.58	45.23	46.90	48.55	50.22	51.87	56.03	58.09
Effective 1/1/26	44.89	46.59	48.31	50.01	51.73	53.43	57.71	59.83
Effective 1/1/27	46.24	47.99	49.76	51.51	53.28	55.03	59.44	61.62

Finally please note Steps 7 and 8 for both Classifications are merit based as before and not automatic.

Rationale:

It is wages as of 1/1/25 and the transition to the new grid that are heart of the present dispute. It has been complex, difficult and challenging. At times, it seems both Parties have been skillfully dancing on top of a pin. At base, the Parties are in agreement as to the % increases for as7/1/25 2.75 %, 1/1/26 3%, and 1/1/27 3%. The Parties have also agreed on where to place the Lieutenant on the grid and his wage increases during the term of the Labor Contract. It is only the wage increase due the Sergeants on 1/1/25 that is the disagreement. Both Parties have strong arguments in support of their position but the Arbitrator find the Union Argument more compelling. The reason that this Arbitrator is making this finding is because of the significant compression of wages between the Patrol Officers and the Sergeants if the Employer Position was adopted, which would leave only 7.14 % wage differential between the first level Supervisors and the Patrol. The City Proposal is in sharp contrast to the past history of wage differential between the Sgt and patrol. See for example, the last Interest Arbitration between the Parties, Teamsters Local 746 v, City of Brainerd, BMS Case 11-PN-6035 by Arbitrator James Reynold who noted why the differential is needed:

"As to the internal comparisons the record shows that the parties have maintained a pay relationship between Police Officers and Police Sergeants. Such a pay gap is necessary to recognize the added responsibilities of supervisory police officers." See Union ex 19 at page 7.

See also Arbitrator Susan Bauman in MAC v LELS ,BMS Case 22-PN-0949 at Page 7 where she notes the delicate balance in compensation between Police Sgts and the Patrol below:

" For Police Sergeants, there must be a balance so that compensation is not too low to dissuade officers from seeking to promote and take on the added duties of the sergeant position."

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Keeping in mind the additional pay differentials that Patrol Officers may receive and Insurance payback under the LELS Contract, some Patrol Officers would have to take a pay cut to become a Sgt if the City's position were upheld. As a department that prefers to promote from within, that can't be a desired outcome for the City or its employees. This proposed wage differential is less than half of what Sgts have received in the recent past above the Patrol Officers that they supervise. See Union Ex 16. While not dispositive, the Arbitrator also does take note that the LELS patrol Officers received 6.82% increase for 1/1/25 at Step 6 while the Sgts at Step 6 were offered .88 % on 1/1/25 by the City Final Position.

While the Employer argues there isn't that much difference between the work Sergeants and Patrol Officers do, This Arbitrator finds that there is a number of significant differences. This current City proposed 7% differential is not enough to account for the additional responsibilities the Sgt undertake, which include managing work, approving overtime and other duties as detailed in Employer Ex 29 which lists the Sergeant duties in their current job description:

Essential Functions include the following supervisory activities:

Supervises work of patrol personnel to ensure conformance with established standards of performance, accuracy of written reports and general operational effectiveness; recommends disciplinary action, and evaluates personnel advising, counselling and providing guidance and/or oral reprimand to officers.

Directs activities at crime and accident scenes; gathers evidence; takes victim and witness statements.

Prepares detailed reports on activities and assignments; reviews officers' reports for thoroughness and accuracy.

Assists in and attends ongoing training in procedures, tactics, weapons, computer systems, and related subjects.

Responds to citizen inquiries and complaints.

Oversees and supervises service calls; ensures appropriate actions are taken.

Assists Police Chief and/or Deputy Chief with administrative functions including grant writing and grant administration.

Receive and/or responds to complaints regarding police officer's conduct and follow department procedures.

Assumes duties of Police Chief and/or Deputy Police Chief in his/her absence.

Clearly, these responsibilities are supervisory. Contrast it with the job duties of the patrol officers. Again, see Employer ex 29. Also see testimony of Sgt Dooley. In his comparable worth analysis, Sgt Dooley estimated that he spent 40% of his time in supervision. See also Employer ex 16 at p7. Even with the addition of the position of Lieutenant whom the Parties have reached agreement on his salary for the term of this new Contract, see Employer ex

22, the Sergeants are still supervisory, and are recognized as such in the Teamster Labor Contract. See also179A6. (2.). Under Minnesota Law, Essential Supervisors are prohibited from being in the same Bargaining Unit with the employees they are supervising. Even with the Arbitrator's Award, the wage differential between the Patrol and their supervising Sgts will be narrowed further versus what it was in the past. The Employer's argument, while energetic, did not establish why the Sgt job duties had truly changed, why the current job description was not valid, and why the wage differential should be even more significantly narrowed.

Comparables too, support an increase beyond the City Proposal.

See for example Cities in the Union Comparable Grouping that follows the previous 2011arbitration award and the average wage for other cities in 2025 is significantly higher$5.46 than what the Sgts will receive under City proposal. See Union ex 22 and 23. This Arbitrator did not see adequate reasons to use a different comparable grouping but even if he had used the City Grouping based on the F and H comparables, the Sgt would be $2.11 behind.

While this Arbitrator is mindful of the requirements of Minnesota Statute 471.992 et seq, the Minnesota Pay Equity Act, the fact remains that even the Teamster wage proposal would not leave the City in non-compliance with the Act, which was admitted by City Human Resources Director Kris Schubert. Nor would the Arbitrator's Award which is even less. While it is always challenging to deal with the interplay of a Pay Equity Study and Final Positions of both Parties, This Arbitrators Award is less than .5% over the average over the Employer's 1/1/25 Final Position in the first year (3.75%) and it restores some but not most of the new wage differential between the Sgt and Patrol. While the Arbitrator is loath to revise the Sergeants salary grid, he believes for the reasons herein that there has to be enough wage differential so that Patrol will not be economically dissuaded from becoming Sgts. Even the Union's higher wage proposal allows the differential to increase.

The Arbitrator understands that the City has worked very hard in the implementation of the F and H Pay Equity Study and to maintain equitable relationships between jobs as required by Law. But without evidence of the "secret sauce which was proprietary to the consultants" as noted by the Human Resources Director, i.e. what factors were measured and how, important information was left unknown at the Hearing. For example why the long established Comparable Grouping, was no longer appropriate. Both parties were left debating – The Union pointing which jobs got to use market forces vs those classifications that were forced to follow the study where more points meant more pay while the Employer stated that the study was "Robust, Comprehensive and Fair".

While it might have been more relevant had the Union appealed their points and explained why their positions were not properly evaluated, it was concerning to the Arbitrator that out of 8 other job evaluations whose authors that did appeal, not a single score was changed. Compare and contrast that with the previous pay equity study done for the City of Brainerd where appeals did lead to points being adjusted for 10 classifications. See Union ex 28.

In any case, the role of this Interest Arbitrator is to arrive at what the parties would have likely negotiated at the table. Even with Pay Equity, external and internal comparables still play an important role. See Arbitrator Richard John Miller City of Mounds View and LELS, BMS Case 10-PN-0957. The role of bargaining is not lost because of pay equity. Even under the Pay Equity Law. Minn Statute, 471.992 et seq, other factors such as comparables and internal consistency may be considered.

In the present case the Union has relied on the same comparable grouping used in the 2011 Reynolds Interest Arbitration Sura. The City, on the other hand, has relied on a different grouping that includes Sgts that are not statutory supervisors and are in the same bargaining unit as the patrol. Clearly, those classifications do not have the same supervisory authority under Law and Contract. Nor has the City of Brainerd made an inability to pay argument while the Employer does make a fair argument that the fact a City can pay, doesn't mean it should pay. Still this Arbitrator believes historical precedent of the wage differential between the Sgt and Patrol without demonstrated change, the actual supervisory authority of Sargeants, and comparables, both internal and external, would have dictated a higher amount than the City's Final Position had the Parties been able to bargain to conclusion.

This Arbitrator therefore believes the above Award is appropriate.

Conclusion

This Award was made in accordance with the requirements of Minnesota Statutes 471.922 et seq. and 179A.16(7). This Arbitrator has considered the statutory rights and obligations of public employers to efficiently manage and conduct their operations within the legal limitations surrounding the financing of these operations.

Dated: September 3, 2025

Phillip Finkelstein, Arbitrator